

# **INVESTOR PRESENTATION**

# Safe Harbor Disclosure

All statements, other than statements of historical fact, made in this presentation and in any verbal statement provided in the course of this presentation regarding the strategy, future operations, financial position, future revenues, projected costs, prospects, timelines, plans and objectives of management are “forward looking” statements and may be forward looking information in accordance with applicable securities laws. Forward looking statements are identified by words such as “believe”, “anticipate”, “estimate”, “expect”, “intend”, “plan”, “project”, “may”, and “will” and the negative of such expressions. Although not all forward looking statements contain these identifying words, any statements that refer to expectations, projections or other characterizations of future events or circumstances are forward looking statements. Although Agility Health believes that the expectations reflected in any forward looking statements made in this presentation and in any verbal statements provided in the course of this presentation are reasonable, such statements are based on a number of assumptions which may prove to be incorrect, including, but not limited to assumptions relating to the risks and factors set out in Agility’s regulatory filings. Accordingly, no assurances can be given that any of the events or circumstances contemplated by any such forward looking statements will transpire or occur or, if any of them transpire or occur, what impact they may have on Agility’s results of operations or financial condition. Important risks and factors that could cause actual results to differ materially from expectations, and should be considered in making any investment in the securities of Agility Health are disclosed in Agility’s filing memorandum, prospectus and any securities regulatory authority.

**All reference to dollars in this presentation are to U.S. dollars, unless otherwise indicated.**

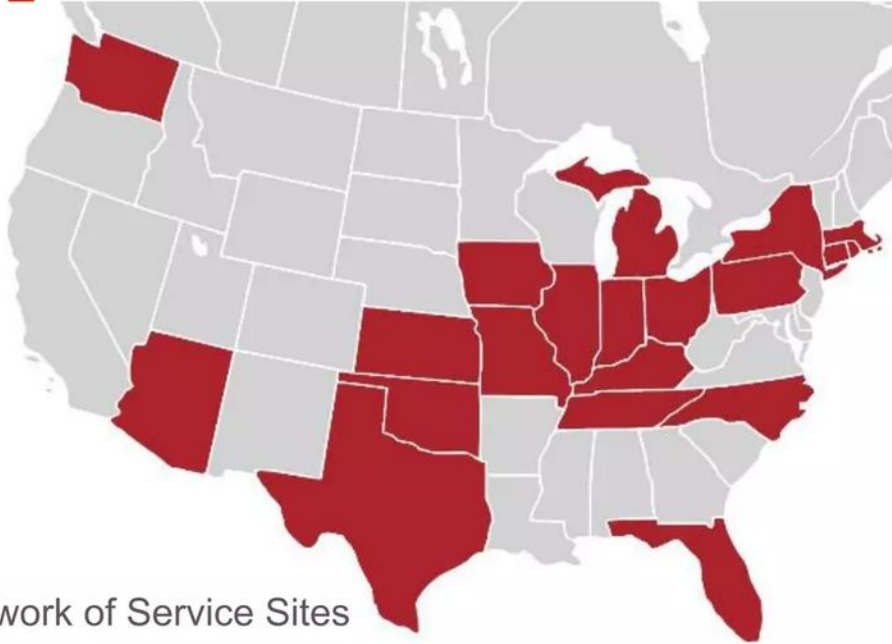
# Who We Are

Agility Health, Inc. (“Agility”) is a leading healthcare provider with a focus on physical rehabilitation services

- ✓ Proven, differentiated business model
- ✓ Significant growth in revenues, margins and EBITDA
- ✓ Highly fragmented industry
- ✓ Provides opportunity to Agility
- ✓ Large, growing industry
- ✓ Strong, experienced leadership



## Corporate Overview



Network of Service Sites

- ah* 1+ million patient visits annually
- ah* 700+ employees
- ah* 155+ locations
- ah* 3-year EBITDA CAGR 9%
- ah* Consolidating highly fragmented market

# AGILITY

# HEALTH

Management Team



**Steve Davidson,  
PT, MBA**

*Chief Executive Officer*

- 29 years healthcare experience
- Licensed physical therapist



**Ken Scholten,  
PT**

*President*

- 35 years healthcare experience
- Licensed physical therapist



**Gene K. Miyamoto,  
MHSA**

*Chief Operating Officer*

- 30 years healthcare experience
- Master in Health Services Administration



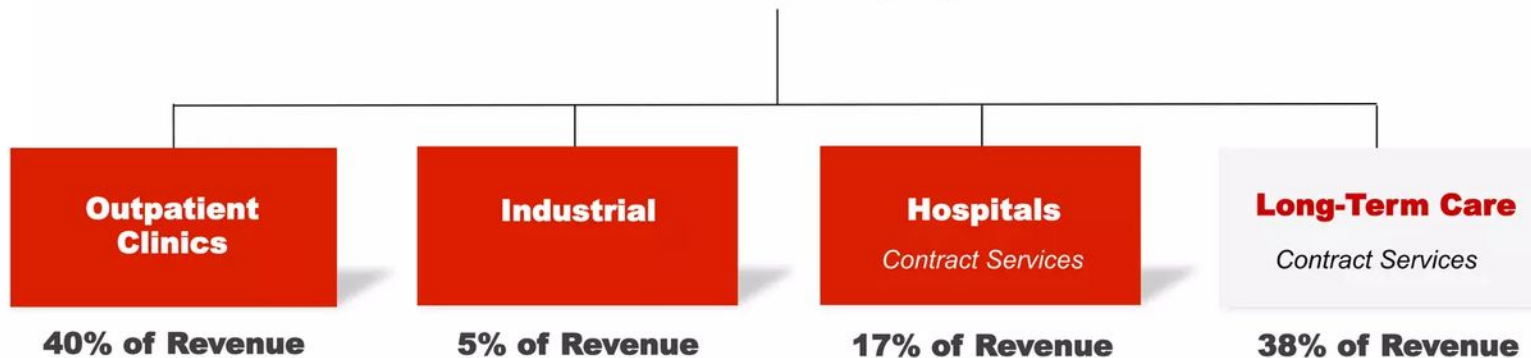
**Terry Vanderkruyk**

*Chief Corporate Development Officer*

- 30+ years in private and public life science sector

# Agility Health

## *Our Business*



*Medicare or Medicaid (government payors) represent only ~10% of direct receivables*



# **Agility Health**

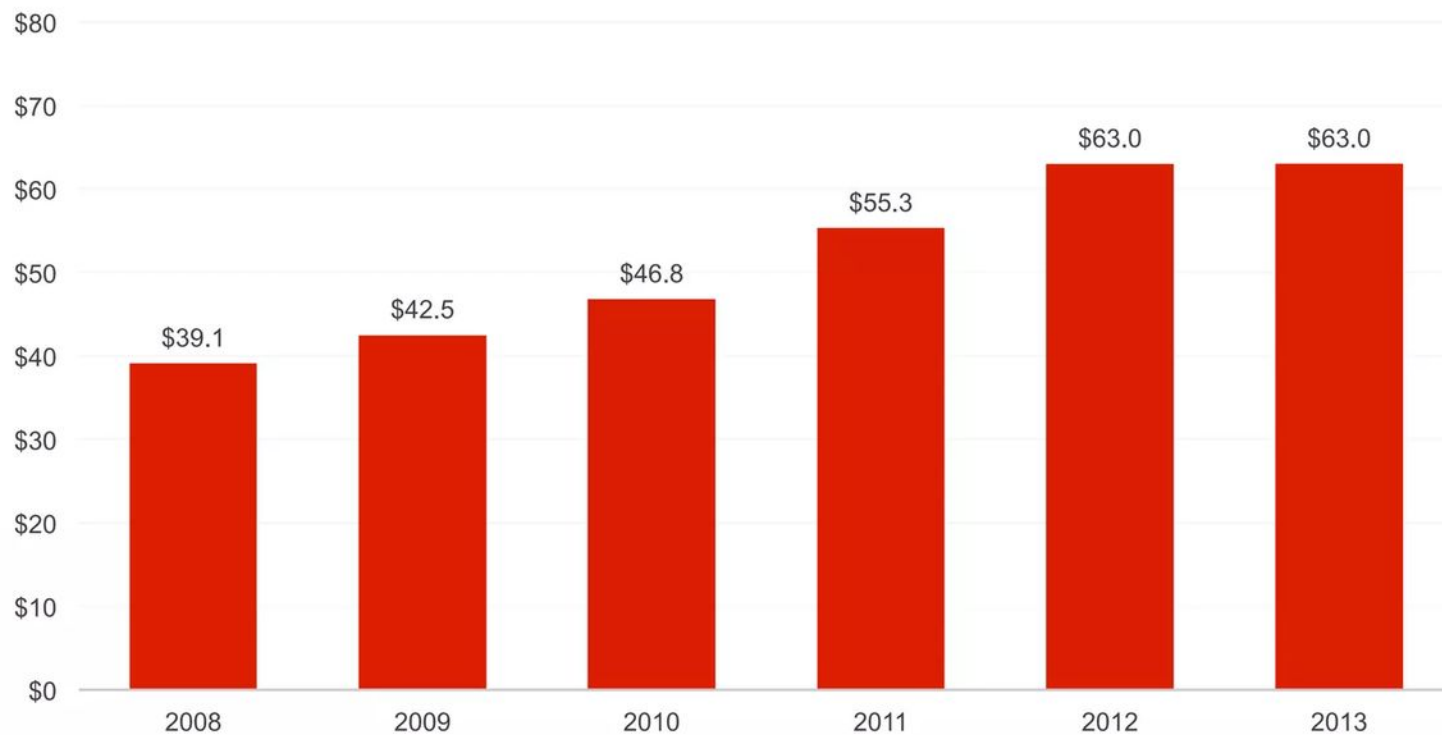
## *A Validated Service Provider*



**Pratt & Whitney**  
A United Technologies Company

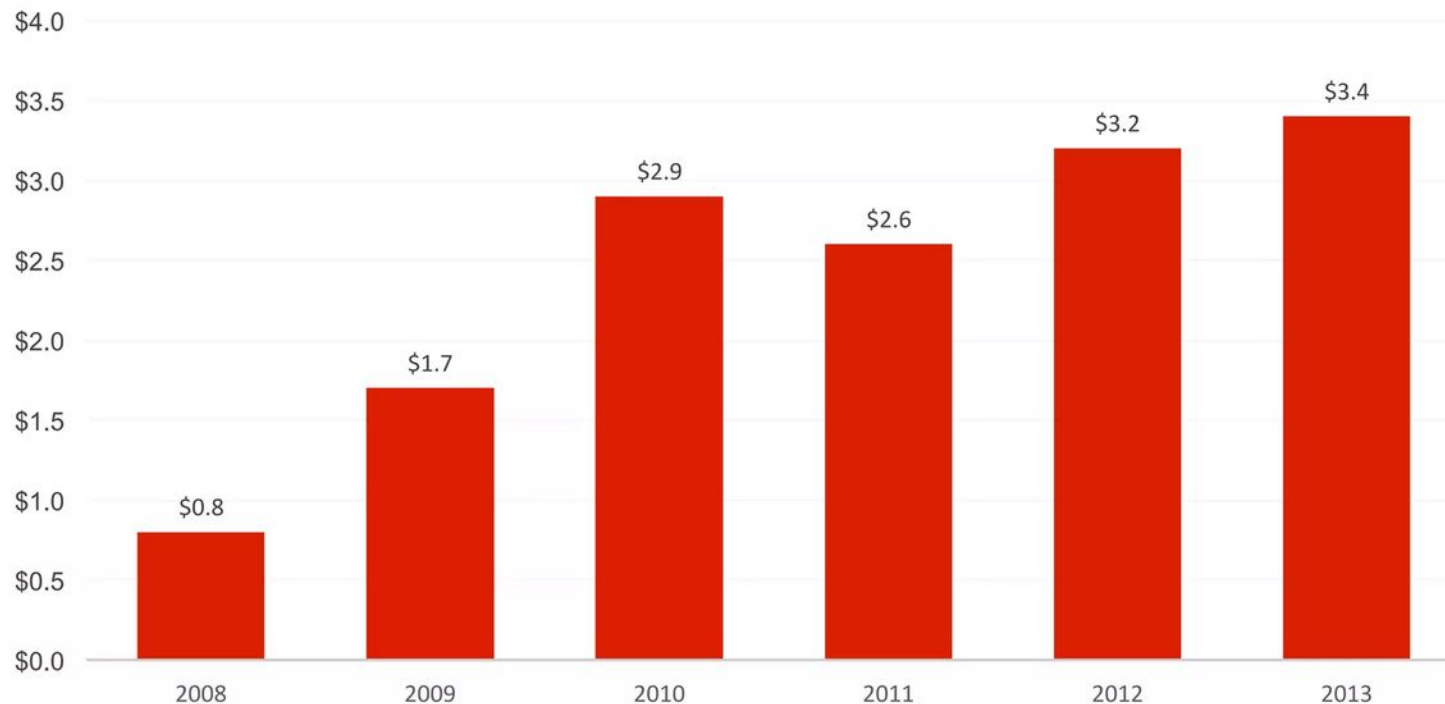


## Revenue Trends (USD)





## Adjusted EBITDA<sup>(1)</sup> Trends



(1) Adjusted EBITDA adjusts for minority interests, non-recurring items, professional fees associated with acquisitions and financings and share based compensation

(2) Forecast = anticipated run rate

# TARGET MARKET

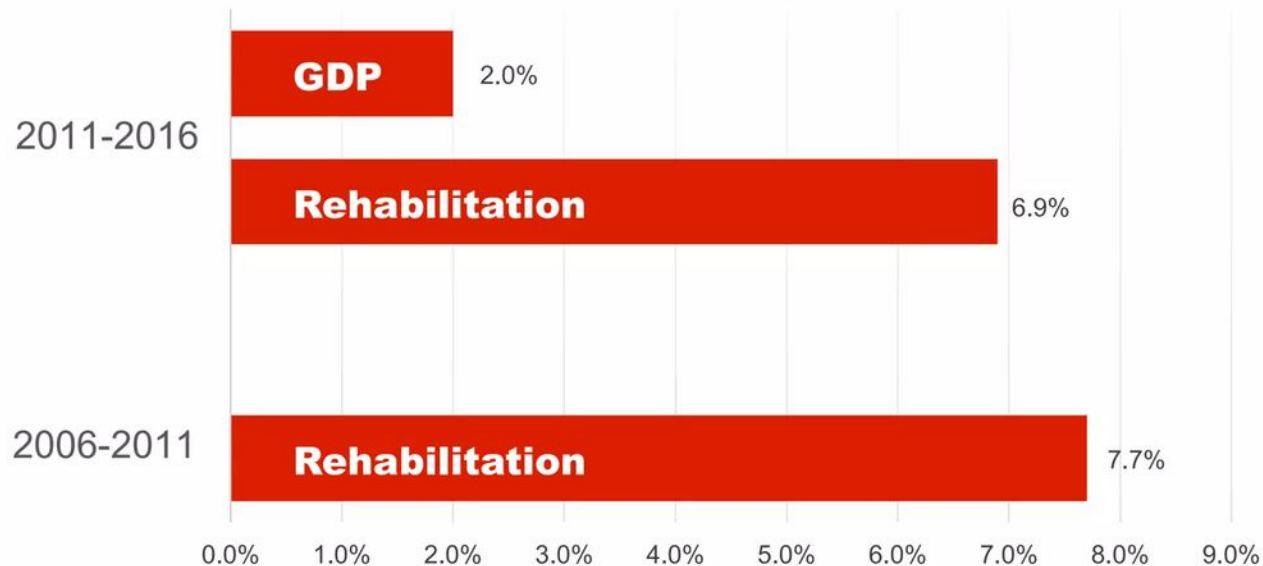
# Market Overview

- ✓ Physical rehabilitation industry: \$26.9 billion
- ✓ Outpatient rehabilitation market: \$10 billion
- ✓ Highly fragmented, with more than 30,000 individual clinics
  - ✓ Eight largest firms account for only 11.3% of the industry
  - ✓ Top 50 companies represent less than 25%
  - ✓ No company has >5% Market Share



# Rehabilitation Industry Trends

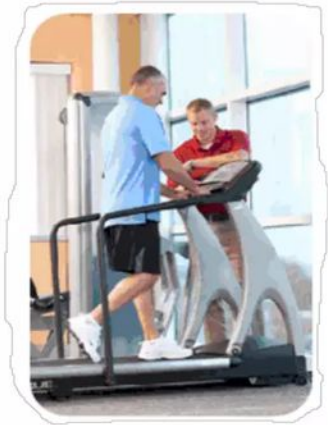
*Annual growth in Rehabilitation market expected to significantly exceed GDP growth rates over the coming decade.*



Source: IBISWorld

# Demand for Therapy Services

- ✓ Patient Protection and Affordable Care Act increases Insured population with Insurance coverage
- ✓ Senior population growth
  - ✓ 2.4% Annual Increase in US residents 50+
  - ✓ Increased desire by elderly to retain an active lifestyle
- ✓ Growing awareness and acceptance of physical rehabilitation services
- ✓ Shifting patients earlier from institutional settings (e.g. hospitals) to outpatient centers
- ✓ Rising obesity rates in population supports the need for rehabilitation services



# Market Dynamics Favor Consolidation

- ✓ Companies in this space are either very large or very small
- ✓ Increasing regulatory burden contributes to smaller clinics seeking to strategically partner or to divest
- ✓ Agility's scale makes many acquisitions insufficient in size for others to consolidate
- ✓ Agility is ideally positioned to partner and consolidate smaller companies for the foreseeable future



# GROWTH STRATEGY



# **Agility Health**

## *Growth Strategy*

### Primary Focus

#### **Acquisitions**

- Strong local brands
- Growth Platform
- Leverage our infrastructure and clinical portfolio

### Complementary

#### **De Novo**

- Clinician partnerships
- Existing market expansion, and new market penetration

### Ongoing, Additive

#### **Organic**

- Organic with existing clients
- New client wins

# **Agility Health**

## *An Ideal Consolidator & Strategic Partner*

- ✓ Highly respected and recognizable name in the industry with services that span the entire rehabilitation spectrum
- ✓ We help our partner businesses get back to a focus on treating patients, while we take care of IT / server, scheduling / PM software, HR, billing, benefits, etc.
- ✓ Agility has a deep pipeline of potentially significant acquisitions based on long-term relationship building
- ✓ Increased profitability through economies of scale (administrative services)
- ✓ Acquisition growth complemented by organic clinical expansion and horizontal integration of product lines (e.g. selling contract therapy services in our new outpatient acquisition markets)

# Agility Health

## *Proprietary Software System – Agile<sup>RPM</sup>*

- ✓ Over the past 3 years, Agility has made a significant investment in developing a proprietary software package tailored to the needs of our industry
  - ✓ Case management, scheduling, work queues, reporting, patient records, paperless documentation, compliance, billing, payment, etc.
- ✓ AgileRPM, has been implemented in 25 of our clinics and will be operational in all of our facilities by the end of 2014
- ✓ We have invested over \$3M in the development of AgileRPM
- ✓ AgileRPM provides recurring revenue through a “Software as a Service” or SaaS model in which outpatient clinic and hospital partners subscribe to our service for a monthly fee
- ✓ Implementing our system results in improved therapist productivity due to reductions in time spent on administrative duties
- ✓ Proprietary data of clinical cases being used to develop case-based, optimized treatments to enhance outcomes and minimize costs for patients and payors

# **Typical Acquisition Criteria**

- ✓ Cultural fit with Agility
- ✓ Ongoing management participation
- ✓ Strong, local reputation
- ✓ Retains Equity (actual or synthetic)
- ✓ Organic Growth Opportunities



## Public Peers: Scope of Service

| Rehab Setting <sup>1</sup>           | Outpatient | LTC/Contr. | Industrial | Rehab Unit | Orthotics | Hospital JV |
|--------------------------------------|------------|------------|------------|------------|-----------|-------------|
| Agility Health                       | ✓          | ✓          | ✓          | ✓          | ✓         | ✓           |
| Select Medical (NYSE:SEM)            | ✓          | ✓          | ✓          | ✓          |           | ✓           |
| Kindred (RehabCare)<br>(NYSE:KND)    |            | ✓          |            | ✓          |           | ✓           |
| US Physical Therapy<br>(NASDAQ:USPH) | ✓          |            | ✓          |            |           |             |

(1) according to our research

# Agility Health

| Trading Statistics            |                 |
|-------------------------------|-----------------|
| 52 Week Range                 | \$0.19 - \$1.00 |
| Latest Price (Feb 20-15)      | \$0.51          |
| Market Cap. (\$CAD MM)        | \$41            |
| 90 Day Avg. Volume            | 82,964          |
| Shares Out (MM)               | 88.1            |
| Cash & Equivalents (CAD\$ MM) | \$3.1           |
| Float                         | 26%             |
| Insider Holdings              | 74%             |

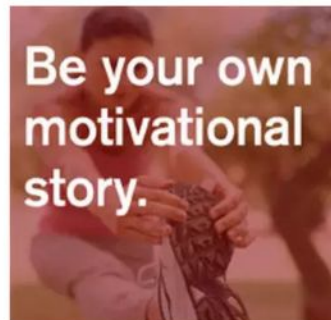
| Capital Structure                              |                   |
|------------------------------------------------|-------------------|
| Common Shares <sup>1</sup>                     | 37,704,862        |
| <u>Restricted Voting Shares <sup>2,3</sup></u> | <u>50,387,115</u> |
| Total Outstanding Shares                       | 88,091,977        |
| Options                                        | 1,788,346         |
| <u>Warrants</u>                                | <u>2,404,636</u>  |
| Fully Diluted Shares                           | 92,284,459        |
| Total LT Debt                                  | \$27,761,229      |
| As at Sept 30, 2014                            |                   |

**Notes:**

(1) 18.91% of common shares held by Steve Davidson (SD) and Ken Scholten (KS) are held in escrow. Securities will be released in 25% tranches in 6 month intervals culminating in the release all of shares from escrow as of April 2015. An additional 3.27% of common shares held by other investors are subject to the same escrow terms as above.

(2) Each Restricted Voting Common Share entitles the holder to receive notice of, attend but not vote at meetings of the shareholders of Agility and to receive dividends if, as and when declared by the Agility Board, on a pro rata basis with the holder of Voting Common Shares. Subject to the rights of holders of preference shares and to the rights of holders of any other class or series of shares ranking senior to the Restricted Voting Common Shares, holders of Restricted Voting Common Shares are entitled to receive (following payment of any amounts due to creditors) on a pro rata basis the remaining property or assets of Agility concurrently with the holders of the Voting Common Shares in the event of any liquidation, winding-up or dissolution of Agility without preference or distinction. Each issued Restricted Voting Common Share may at any time be converted, at the option of the holder, into one Voting Common Share, which may be exercised by notice in writing.

(3) 56.67% of all Restricted Voting Common Shares held by SD and KS are held in escrow. Securities will be released in 25% tranches in 6 month intervals culminating in the release all of shares from escrow as of April 7, 2015. An additional 3.94% of all Restricted Voting Common Shares held by other investors are held in escrow, with 50% to be released on each of November 13, 2014 and November 13, 2015.



# Investment Highlights

- ✓ Highly fragmented industry with large market size
- ✓ Healthy pipeline of acquisitions lined up for foreseeable future
- ✓ Considerable growth in revenues, margins and EBITDA through organic operations and strategic acquisitions
- ✓ Scope of services spans the entire rehabilitation spectrum
- ✓ Strong and experienced management with substantial physical therapy transactional experience
- ✓ Attractive valuation relative to publicly traded peers





**TSX.V.AHI**

# **CONTACT INFORMATION**

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**Terry@AgilityHealth.com**  
**604-961-3844**



# AGILITY

# HEALTH

Independent Directors

## **Robert Herr**

*Director*

- Certified Public Accountant (retired) Crowe Horwath, LLP for 40 years
- Director, Macatawa Bank (NASDAQ.MCBC); Member of Audit Committee since 2010
- Multiple private and public company clients including manufacturing, retail, financial, service, healthcare, distribution, non-profit, and higher education
- Multiple community and private Boards of Directors and audit committees with a focus on strategic planning, transaction services, internal reporting, cash flow, and budget planning

## **Pierre Labbé**

*Director*

- CFO, VP, Quebec Port Authority
- Chartered Accountant, Laval University, Quebec City
- Member of: Order of Chartered Accountants of Quebec, the Canadian Institute of Chartered Accountants, and the Association of Certified Corporate Directors
- Director and Chairman of the Audit Committee of Virginia Mines Inc (TSX.VGQ)
- Formerly, VP, and/or Chief Financial Officer of Medicago (TSX.MDG), Plexmar Resources Inc., Sequoia Minerals Inc., and Mazarin Inc.

## **Robert Metcalfe**

*Director*

- Counselor, Metcalfe, Blainey & Burns LLP, 13 years; Senior partner at Lang Michener LLP, 20 years
- Member, Institute of Corporate Directors and Law Society of Upper Canada
- Director: Gran Colombia Gold Corp.; Xinergy Corp.; and Alberta Oil Sands
- Formerly, CEO and President of Armadale Properties and counsel to Armadale Group
- Formerly, Director of Canada Lands Company Limited, and Chairman of the Board of CN Tower Limited